

2. Trustee may not invest on personal security. — It was the opinion of Lord Northington that a trustee might be justified

N. J. Eq. 100; where a trustee is held liable for investments in personal securities, his liability ceases when the money is paid, whether the estate receives it or not; *Re Foster's Will*, 15 Hun, 387; but though a trustee may lend on personal security, yet he cannot take the loan himself; *De Jarnette v. De Jarnette*, 41 Ala. 708; and in many cases he is not allowed to use trust funds in manufacturing, and trade, any more than in speculation; *King v. Talbot*, 40 N. Y. 96; *Kyle v. Barnett*, 17 Ala. 306; *In re Thorp Dyeis*, 290; *Brown v. Ricketts*, 4 Johns. Ch. 303; and an oral request by testator that trustee should continue the business does not show sufficient authority; *Raynes v. Raynes*, 54 N. H. 201; a trustee exceeding his authority must bear all the losses and account for all the profits; *Martin v. Raborn*, 42 Ala. 648; or if he see his co-trustee do it he is liable; *Bates v. Underhill*, 3 Redf. 365; a trustee, unless by special authority, should not continue a testator's business, but may do so at the request of all parties in interest without becoming liable for any losses accruing; *Poole v. Munday*, 103 Mass. 174. Courts may give directions as to investment; *Wheeler v. Perry*, 18 N. H. 307; but powers must be strictly complied with; *Foscue v. Lyon*, 55 Ala. 440; *Brown v. French*, 125 Mass. 410; *Wood v. Wood*, 5 Paige, 599; *Burrill v. Sheil*, 2 Barb. 457; *Ihmsen's App.* 43 Pa. St. 471; if it is to be an investment on good and sufficient security, it must accord with the rules and orders of the court; *Nance v. Nance*, 1 S. C. 209; *Womack v. Austin*, 1 S. C. 421; to invest at his "discretion" did not include personal securities; *Wormley v. Wormley*, 8 Wheat. 421; power to loan in bank stocks does not include government bonds; *Banister v. M'Kenzie*, 6 Munf. 447; good and sufficient securities include town loans; *M'Call v. Peachy*, 3 Munf. 288; but see *Trustees v. Clay*, 2 B. Mon. 386; trustees must obey if requested to invest in a particular manner; *McIntire v. Zanesville*, 17 Ohio St. 352; and nothing will protect them from disregarding directions if there is a loss; *Spering's App.* 71 Pa. St. 11.

It has been said that the needs of the government led to the rule requiring investment in trust funds; *Brown v. Wright*, 39 Ga. 96; but the English rule has been modified in most of our states, with the exception of Pennsylvania and New York; *Worrall's App.* 41 Pa. St. 164; *Hemphill's App.* 18 Pa. St. 303; *Morris v. Wallace*, 3 Barr, 319; *Ackerman v. Emott*, 4 Barb. 626. It has been held that trustees might invest in confederate bonds prior to the downfall of the confederacy; *Watson v. Stone*, 40 Ala. 451; *Dockey v. McDowell*, 41 Ala. 476; but not afterwards; *Snelling v. McCreary*, 14 Rich. Eq. 291; if payment was received in money in common use the trustee was not responsible for the loss; *Campbell v. Miller*, 38 Ga. 304; *Brown v. Wright*, 39 Ga. 96; *Davis v. Harman*, 21 Gratt. 194; *Dixon v. McCue*, 21 Gratt. 373; *Morgan v. Otey*, 21 Gratt. 619; *Walker v. Page*, 21 Gratt. 636; *Myers v. Zetelle*, 21 Gratt. 733; *Campbell v. Campbell*, 22 Gratt. 649; *Coltrane v. Worrell*, 30 Gratt. 436; a guardian was held liable for investing in confederate bonds; *State v. Simpson*, 65 N. C. 497; *Alexander v. Summey*, 66 N. C. 578; so of a trustee; *Creighton v. Pringle*, 3 S. C. 78; *Turner v. Turner*, 36 Tex. 41; but see *Singleton v. Lowndes*, 9 S. C. 465; trustee may receive payment in money received by prudent men; *Baird v. Hall*, 67 N. C. 230; *Barker v. McAuley*, 4 Heisk. 424; if has kept the identical money may escape liability when he otherwise would not; *Saunders v. Gregory*, 3 Heisk.